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— Financial Services —

Is My Life Insurance Plan a Tax Shelter?
(And if So ... So What?)

David Kakon, B.Sc. (Math Hons.), August 2026 / David@ArmstrongLife.com

Immediate Financing Arrangements (IFAs) have been widely promoted to high-net-worth individuals as a strategy to fund permanent life insurance.

The structure typically involves acquiring an insurance policy, paying the annual premium, immediately borrowing back an equal amount from a third-party lender to replenish capital for legitimate income-generating purposes, and deducting the annual loan interest. The loan is designed to be carried indefinitely and repaid from the death benefit, leaving a net payout that is often pitched as "free insurance."

This analysis focuses specifically on the structure where the principal loan advances equal the insurance premiums, representations of tax deductions are made, and the debt is illustrated as being repaid from the death benefit. This is not an analysis of every loan that happens to be secured by a life insurance policy. There is an important distinction between a taxpayer who independently purchases insurance and later obtains a business loan, and an integrated insurance-and-financing strategy that is specifically designed, arranged, and represented as a way of obtaining "free" or "no-cost" insurance.

While much of the industry is focused on whether these arrangements violate the newly expanded General Anti-Avoidance Rule (GAAR), there is a much more immediate, mechanical compliance risk. Based on a strict reading of the mathematical definitions in the Income Tax Act (ITA), it appears that certain leveraged life insurance structures may technically qualify as tax shelters. Advisors and corporate policyholders must carefully evaluate this risk.

The Math: How Could a Life Policy Become a Tax Shelter?

The definition of a tax shelter in subsection 237.1(1) is principally an objective, representation-based statutory test. If representations made to a client, such as financial illustrations, indicate that expected tax deductions in any of the first four years will equal or exceed the arrangement's recognized net cost—calculated as Total Outlay (e.g., Insurance Premiums) minus Prescribed Benefits (e.g., Limited-Recourse Debt)—the arrangement meets the statutory definition of a tax shelter.

The CRA describes the tax-shelter test in similar terms: the relevant comparison is between the losses, deductions, or credits represented in the first four years and the investment's net cost after prescribed benefits. CRA also states that prescribed benefits include limited-recourse debt.

In a 100%-financed IFA, the mathematical effect can be significant. Where $100,000 of premium is accompanied by $100,000 of debt that is determined to be a prescribed benefit:

> *$100,000 premium − $100,000 prescribed benefit = $0 net cost*

Sample IFA: $100,000 x 10 Client (Age 60)

Year	Age	Deposit	Loan	Total Debt	Total Face	Net Benefit (Face − Debt)
1	60	100,000	100,000	100,000	1,446,039	1,346,039
2	61	100,000	100,000	100,000	1,586,368	1,386,368
3	62	100,000	100,000	100,000	1,728,112	1,428,112
4	63	100,000	100,000	100,000	1,868,904	1,468,904
5	64	100,000	100,000	100,000	2,008,261	1,508,261
10	69	100,000	100,000	1,000,000	2,700,334	1,700,334
15	74	-	-	1,000,000	2,561,357	1,561,357
20	79	-	-	1,000,000	2,488,774	1,488,774

Promoter's Representation Note: The marketing illustration explicitly assumes tax savings result from claiming a deduction for loan interest & collateral insurance. Full illustration here: tax-shleter.ca/IFA.pdf

If the illustration shows even $5,000 of deductible amounts in Year 1 against a $0 net cost, the statutory tax-shelter threshold is met.

This illustration cleanly establishes both statutory elements: $0 Net Cost (100% matched loan advance) and Represented Deductions (interest + explicit written tax-saving representations).

To trigger this mathematical formula, two legal conditions must be met: the financing must first be legally classified as a limited-recourse amount, and it must then constitute a prescribed benefit "in respect of" the policy. Here is how the statute makes that connection.

The Statutory Trap: Limited-Recourse Debt & The Deeming Provision

When evaluating whether an IFA loan is a "limited-recourse amount," industry practitioners often point to outside collateral, personal guarantees, and the lender's ability to call the loan on demand as proof that the debt is "fully recourse." While these features satisfy a bank's commercial risk requirements, they do not necessarily resolve the statutory question.

Subsection 143.2(7) is a strict statutory deeming provision. The law explicitly provides that the unpaid principal of an indebtedness is deemed to be a limited-recourse amount unless a specific timing condition is met at inception: there must be bona fide arrangements, evidenced in writing, to repay the principal and interest within a reasonable period not exceeding 10 years.

> *"...the unpaid principal amount of the indebtedness shall be **deemed** to be a limited-recourse amount... **unless** bona fide arrangements were made in writing, at the time the indebtedness arose, for repayment of all principal and interest... within a reasonable period not exceeding 10 years."*

A deeming provision creates a statutory rule that can override ordinary commercial characterization. The existence of collateral, guarantees, or a lender's right to demand repayment does not, by itself, bypass this rule. Where the 10-year repayment requirement is not satisfied, the unpaid principal is legally deemed to be a limited-recourse amount.

The "Demand Loan" Loophole is Closed

To circumvent the 10-year rule, promoters structure IFA financing as 1-year renewable demand loans, arguing that a 1-year loan is shorter than 10 years. The ITA addresses this issue.

1. Under subsection 143.2(12), if the repayment arrangement can reasonably be considered part of a series of loans or other indebtedness and repayments that ends more than 10 years after the series begins, the debtor is considered not to have made arrangements to repay the indebtedness within 10 years.

2. Because marketing materials and illustrations may explicitly present these facilities as lifelong loans intended to be "repaid out of the death benefit," those representations provide significant evidence that successive facilities form part of a continuing financing arrangement. Consequently, a demand loan may be deemed to be a limited-recourse amount.

This exact risk was acknowledged in a 2023 practice note by the Conference for Advanced Life Underwriting (CALU), warning its own advisors that the CRA views a demand loan as a limited recourse amount when the 10-year repayment timeline is absent, referencing 2010 Ruling 2009-0340381R3 F.

The "In Respect Of" Question: Two Routes to the Same Conclusion

Once a loan is deemed to be a limited-recourse amount, the final step in the tax-shelter analysis is determining if it constitutes a "prescribed benefit."

The regulation does not say that every loan associated with an insurance policy automatically becomes a prescribed benefit. The statutory question is whether the limited-recourse amount is a prescribed benefit "in respect of an interest in a property." Regulation 3100(1) expressly frames the prescribed-benefit analysis by reference to an interest in property and to statements or representations made in respect of that interest.

Below, two independent bases for establishing that link are considered: first, the insurance policy itself as the relevant property (Route One); second, the represented investment into which the borrowed funds flow (Route Two). Either is sufficient on its own to satisfy the statutory test—a promoter defeating one does not defeat the other.

Route One: The Insurance Policy as the Interest in Property

The relevant property in an IFA of this type may be the purchaser's interest in the permanent life insurance policy itself. The question therefore becomes:

Is the financing merely an unrelated business loan that happens to be secured by the policy, or is the financing an integral part of the arrangement through which the policy was acquired and represented to the purchaser? Consider two very different situations:

1. **Unrelated Financing:** A taxpayer independently purchases a $10 million life insurance policy. Several years later, the taxpayer approaches a bank for a business loan and offers the policy as collateral. The business loan may have little or nothing to do with the acquisition of the policy.
2. **Integrated IFA:** The insurance and financing are deliberately presented as one integrated strategy. The promoter determines the amount of insurance, arranges the financing, the loan advances are designed to match the premiums, the debt is illustrated as remaining outstanding, and the eventual repayment is shown as coming from the death benefit.

The economic proposition being presented in the second scenario is: "Acquire this life insurance policy, borrow back the premiums, reinvest the borrowed capital, and the eventual death benefit will repay the debt, leaving the desired net insurance amount at effectively zero net premium cost."

The financing is being used to explain why the purchaser should acquire the policy in the first place. Those facts provide a substantial basis for arguing that the limited-recourse financing is a benefit "in respect of" the purchaser's interest in the policy. This reading typically draws on the "inseparable whole" doctrine from *Hexalog Ltée c. La Reine*, which welds the policy and the financing into a single composite property where the two are marketed and executed as one package.

The Business Use Defense

The taxpayer or advisor may argue: "I paid $100,000 for the insurance. Then I borrowed $100,000 and invested it in my business. The business use determines whether I can deduct the interest. The loan has nothing to do with the cost of my policy."

That may be relevant to the interest-deductibility analysis (which asks if borrowed money was used for an eligible income-earning purpose), but it does not answer the separate prescribed-benefit question under the tax-shelter rules. The fact that the borrowed money was subsequently invested in a legitimate business does not erase the relationship between the financing and the policy if the financing was specifically created, arranged, and represented as part of the insurance strategy.

The financing documentation itself may reinforce the "in respect of" analysis. Where IFA loan terms link advances, borrowing capacity, premium payments, policy illustrations, collateral, and investment requirements to the insured policy, those contractual features may provide additional factual support for treating the financing as an integral component of the insurance arrangement rather than an unrelated loan. (**See Appendix 3**).

The Illustration Trap: Representations Override Artificial Separation

When challenged, promoters may also argue that the life insurance policy and the business investment are legally separate transactions. However, the ITA does not define a tax shelter solely by tracing where borrowed funds were ultimately deposited. The tax-shelter regime expressly considers the statements or representations made in connection with the property. CRA specifically identifies sales brochures, advertisements, and verbal representations as relevant representations.

The central issue is whether, in an integrated IFA marketed as a "free" insurance strategy, the financing is sufficiently connected to the purchaser's interest in the policy to constitute a prescribed benefit in respect of that interest. Where the insurance and financing are designed, arranged, illustrated, and represented together, there is a substantial factual basis for that position. One cannot necessarily market the combined result as "no-cost insurance" and then, when the tax-shelter rules are examined, characterize the financing as having nothing to do with the insurance. The promotional illustration itself is evidence of the relationship.

Route Two: The Investment as the Interest in Property

Route One treats the insurance policy as the relevant target property under Regulation 3100(1), typically relying on the Hexalog "inseparable whole" doctrine to weld the policy and the financing into a single composite property. That reading is available, but it is not the only—or necessarily the strongest—basis for establishing the prescribed-benefit link.

Regulation 3100(1) does not require the prescribed benefit to relate to the insurance policy specifically. It requires an interest in property—a broader term that the promoter's own representations may satisfy without a need to characterize the policy and the loan as a single asset.

Consider the mechanics of a typical IFA sales presentation. The promoter does not merely tell the client to "borrow against your policy." The promoter specifies an exact amount to be borrowed and illustrates that borrowing as remaining outstanding until death, notwithstanding the loan's contractual characterization as a demand or fully recourse facility. The promoter directs those funds into an income-producing investment and represents that amount as producing tax deductions.

In a 100%-matched IFA, the represented borrowed amount, the represented invested amount, and the represented deducted amount are identical. This removes a complication that can arise where only a portion of a represented investment is financed—for instance, a hypothetical arrangement in which a $2 million investment is only $1.5 million financed, requiring a court or reviewer to apportion the shelter analysis across a mixed capital stack of debt and the taxpayer's own equity. A 100%-matched IFA presents no such difficulty: the entire represented amount is financed, the entire amount is invested, and the entire amount is deducted, all in the same document.

On this reading, the represented investment tranche itself is the "interest in property" contemplated by Regulation 3100(1). The prescribed-benefit determination does not depend on characterizing the policy and the financing as an inseparable whole. It follows directly from the plain words of the regulation applied to the promoter's own illustration.

Anticipating the Commingling Defense: The Law Tests the Pitch, Not the Plumbing

A promoter facing this argument may respond that once the borrowed funds are deposited into a large, diversified account—for example, a $1 million corporate portfolio consisting overwhelmingly of the client's own capital—tracing the specific loan becomes impractical. The argument asserts that the financing has therefore become ordinary business or investment financing rather than an integrated tax strategy.

That argument risks importing the current-use analysis under paragraph 20(1)(c) into a completely different statutory regime. For purposes of interest deductibility, the taxpayer may indeed have to establish the current use of borrowed money and its eligible income-earning purpose. That is a tracing question. But the tax-shelter analysis under subsection 237.1(1) asks a fundamentally different question.

The statutory inquiry expressly incorporates statements and representations made in connection with the property, and Regulation 3100(1) defines a prescribed benefit by reference to what may reasonably be expected "having regard to statements or representations made in respect of the interest."

The question is therefore not simply: "*Where did the $100,000 physically go?*"

It is: "*What interest in property was being promoted, what was represented in respect of that interest, and what deductions and benefits could reasonably be expected on the basis of those representations?*"

This distinction requires a rigorous, step-by-step statutory sequence:

1. Identify the property interest.
2. Determine what was represented in respect of it.
3. Determine whether the financing is a limited-recourse amount.
4. Apply Regulation 3100 to determine whether that amount is a prescribed benefit.
5. Calculate the recognized net cost under subsection 237.1(1).
6. Compare that net cost with the represented first-four-year deductions.

The commingling defense primarily attacks Steps 1 and 2 by inappropriately smuggling in paragraph 20(1)(c) tracing logic.

Consider the representation made in a fully financed IFA:

$100,000 insurance premium → $100,000 financing → $100,000 investment → represented interest deduction.

The promoter has therefore presented a specific relationship among the insurance acquisition, the financing, the investment, and the represented deduction. The promoter's own representation provides evidence identifying the investment interest to which the financing and represented deductions relate.

The subsequent fact that the $100,000 is deposited into a $1 million corporate investment account does not, by itself, erase the representation that was made when the arrangement was sold. The plumbing of the funds after closing is not a substitute for the statutory inquiry into the pitch made at inception.

The T5001 Confirmation

The CRA's own administrative framework provides unusually useful confirmation of this distinction.

Form T5001, used by promoters to apply for a Tax Shelter Identification Number, requires the promoter to identify the largest deduction represented as potentially allowable to the purchaser, and it specifically includes "Interest expense" as one of the prescribed categories. It then requires the promoter to report the gross deductions represented for each of the first four years.

The legal force of the tax-shelter regime comes strictly from the Income Tax Act and Regulations, not from administrative forms. Indeed, the CRA expressly states that a tax-shelter identification number is administrative and does not guarantee the taxpayer is entitled to the proposed tax benefits. However, the T5001 shows exactly how the CRA expects promoters to operationalize the representation-based regime.

The CRA is not asking the promoter, on the T5001, to predict how the purchaser will subsequently commingle borrowed funds with pre-existing capital. It is asking the promoter to disclose what deductions are represented to the purchaser in the first four years.

A promoter cannot have it both ways. If the promotional illustration says: *"Borrow $100,000 against this insurance arrangement, invest the $100,000, and deduct $5,000 of interest,"* the promoter has made a strict representation about the tax consequences of the investment arrangement.

The promoter cannot then respond: "But after the loan was advanced, the $100,000 entered a much larger account, so you must ignore the relationship represented in our illustration." That confuses the taxpayer's *subsequent* tracing exercise for claiming an interest deduction with the promoter's point-of-sale representations.

Ultimately, tracing matters enormously under paragraph 20(1)(c). But it does not follow that subsequent commingling overrides the representations that determine whether the original arrangement was a tax shelter under subsection 237.1(1).

A Practical Consequence: Preserving the Policy's Cost Basis

Route Two carries a material practical advantage for clients seeking to exit these arrangements. Where the limited-recourse amount is determined to be a prescribed benefit in respect of the client's interest in the reinvested funds—rather than in respect of the insurance policy itself—the cost-basis reduction under subsection 143.2(6) attaches to the investment, not to the policy.

In practice, this means a client who unwinds the financing and retains the policy may preserve the policy's adjusted cost basis, limiting exposure on a future surrender or disposition to the investment side of the arrangement. This is a meaningful distinction: cost-basis erosion under section 143.2 is often the most durable and punishing consequence of these structures, following the taxpayer for as long as the asset is held. A theory that confines that erosion to the investment materially reduces the client's long-term exposure on the insurance policy.

This should be understood as the better-supported reading, not a foreclosed conclusion. Nothing prevents the CRA or a reviewing court from finding, in the alternative, that the policy independently qualifies as property under the Hexalog line of reasoning (Route One)—in which case both the investment and the policy could be exposed to cost-basis reduction. Advisors should treat Route Two as the stronger basis for structuring and risk assessment, while recognizing that Route One remains available to the CRA as a fallback position.

A Note on Circularity

It may be tempting to characterize this analysis as circular: the arrangement is a tax shelter because net cost is zero, and net cost is zero because the arrangement is a tax shelter.

It is not circular. The limited-recourse determination under subsections 143.2(7) and (12), and the prescribed-benefit determination under Regulation 3100(1) and (3), are made independently of—and strictly prior to—the net-cost calculation under subsection 237.1(1).

Each step turns on its own distinct facts: whether a bona fide written repayment arrangement existed at inception, and whether the promoter's representations tie a limited-recourse amount to an interest in property (under either Route One or Route Two above). The $0 net cost is the computed output of applying these two independent statutory tests to the represented facts. It is not an assumption smuggled in to reach the shelter classification.

The Consequences of an Unregistered Tax Shelter

By law, a promoter must register a tax shelter with the CRA and obtain a Tax Shelter Identification Number before selling it. Based on the files we have reviewed to date, we have not seen these arrangements registered with a Tax Shelter Identification Number.

If a client's arrangement is assessed as an unregistered tax shelter, the potential CRA assessing positions are severe. Based on active CRA field audits, these reassessments are being applied retroactively to the date of the policy's purchase:

1. **Retroactive Denial of Deductions:** Under s. 237.1(6), the CRA can automatically disallow all paragraph 20(1)(c) interest and paragraph 20(1)(e.2) NCPI deductions claimed under the arrangement, going back to the date the policy was purchased. The ITA explicitly states that without a valid Tax Shelter Number, no person may claim any deduction for any year.
2. **Reduction of Cost Basis**: Section 143.2 contains rules that can reduce the amount of an expenditure or capital cost associated with a tax shelter investment by specified limited-recourse amounts, exposing future policy distributions or the sale of assets acquired with the borrowed funds to increased taxation.
3. **Surplus Stripping & GAAR:** Section 143.2 contains rules that can reduce the amount of an expenditure or capital cost associated with a tax shelter investment by specified limited-recourse amounts, exposing future policy distributions or the sale of assets acquired with the borrowed funds to increased taxation.
4. **Third-Party Penalties:** Under Section 237.1(7.4), selling an unregistered tax shelter triggers a strict penalty equal to 25% of the total "consideration" received. Separately, Section 163.2 allows the CRA to levy third-party civil penalties on planners or advisors who demonstrate culpable conduct or gross negligence in promoting non-compliant structures.

What Can You Do?

If you suspect your life insurance arrangement may be an unregistered tax shelter, it is critical to act proactively before the CRA initiates an audit on your file.

- **Run the Math:** Work with an independent technical resource to calculate the "net cost" of your policy against the represented tax deductions in the first four years.
- **Ask for the TS Number:** Contact the promoter or broker who sold you the plan and request the Tax Shelter Identification Number.
- **Seek Independent Tax Advice:** Do not rely solely on the promoter who sold you the plan to assess its compliance. Consult a qualified, reputable tax professional who has no financial connection to the policy or its outcome.

CRA Activity

If statutory warnings and industry guidance are not enough, consider the CRA's explicit response to Question 1 at the 2026 CRA Roundtable (Reference: 2026-1089291C6) regarding their current audit activities:

> *We continue to seek out, audit and re-assess all arrangements which attempt to utilize insurance products or insurance-like products to gain a tax advantage not envisioned by tax policy and legislation.*
>
> *Within CRA, the High Net Worth Compliance Directorate (HNWCD) develops, implements, and coordinates business intelligence and compliance initiatives to address non-compliance in the High Net Worth population through the Audit Program Division, which includes the Aggressive Tax Planning audit program (ATP), and the Tax Promoter and Advisor Compliance program (TPAC).*
>
> *While the ATP Audit Program addresses aggressive tax planning by taxpayers who participated in such abusive insurance-related tax schemes, the TPAC program addresses non-compliance associated with promoters and advisors who promote or sell aggressive tax schemes. TPAC is accountable for identifying and combating aggressive tax schemes and holding promoters accountable through audit activities.*

Navigating these statutory definitions requires an objective review to mitigate potential risks before an audit occurs.

David Kakon, B.Sc. (Math Hons.)
David@ArmstrongLife.com

Appendix 1: The Statutory Chain

For professionals reviewing the structural integrity of these arrangements, the mathematical transition to a tax shelter could be triggered by the following legal chain:

- *ITA Section 143.2(7): Classifies the financing as a "limited-recourse amount" if the arrangement lacks a bona fide written agreement requiring the principal to be fully repaid within 10 years. Additionally, 143.2(12) was added to stop promoters from using short-term renewable loans to bypass the 10-year repayment requirement (Sherman).*

- *ITR Regulation 3100(3): Specifically classifies any limited-recourse amount under Section 143.2 as a "prescribed benefit." Critically, this includes debt relating to "the arrangement under which the property is acquired," thereby integrating all parts of the plan as presented.*

- *ITA Section 237.1(1): Mandates that the legally recognized "net cost" of the investment must be reduced by all "prescribed benefits." Under this subsection, an arrangement meets the statutory definition of a tax shelter if the expected deductions in any of the first four years equal or exceed this adjusted net cost.*

- *ITA Section 237.1(6): Explicitly states that without a mandatory Tax Shelter Identification Number, no person may claim any deduction related to the arrangement. This statutory mechanism allows the CRA to automatically disallow all interest or Net Cost of Pure Insurance (NCPI) deductions claimed through the structure.*

- *ITA Section 143.2(6): Mandates that the recognized expenditure (the cost basis) must be proportionally reduced by the limited-recourse amount. This reduces the taxpayer's out-of-pocket investment for tax purposes, thereby exposing future policy distributions or the sale of assets acquired with the borrowed funds to increased or full taxation.*

- *ITA Section 163.2: Outlines substantial civil penalties. Under 237.1(7.4), selling an unregistered tax shelter triggers a strict penalty equal to 25% of the total "consideration" received, which for an IFA could be interpreted by the CRA to mean the total premiums paid into the arrangement. Separately, Section 163.2 establishes third-party civil penalties for advisors and planners who knowingly, or through culpable conduct, participate in or promote false statements regarding tax structures. The penalty under 163.2 is generally the greater of $1,000 or the planner's gross entitlement (commissions/fees) for the activity.*

Appendix 2: Relevant Resources

- *Hexalog Ltée c. La Reine, 2005 TCC 67 Establishes the "inseparable whole" doctrine under Subsection 237.1(1). The Tax Court held that where an asset, financing facility, and reinvestment strategy are marketed and executed as one package, they legally constitute a single, composite "property."*
- *CRA TI 2006-0196251C6 - Abri fiscal & 2010 Ruling 2009-0340381R3 - Rente assurée Rulings confirming the CRA views "demand loans" and renewable facilities as limited-recourse amounts if there is no bona fide written arrangement to fully repay within 10 years.*
- *Krumm v. Canada, 2021 FCA 78 Demonstrates that the tax shelter definition is purely mathematical and objective, applying strictly based on represented deductions against net cost.*
- *Canada v. Baxter, 2007 DTC 5199 & Jevremovic v. Canada, 2008 DTC 6263 Federal Court of Appeal decisions upholding strict statutory consequences for unregistered tax shelters.*
- *Definitions for Tax Shelters & Tax Shelter Reporting (CRA Circular) Official guidance detailing the mechanical application of the "Net Cost" formula, the treatment of limited-recourse debt, and mandatory registration requirements for promoters.*
- *CRA Information Circular IC01-1R2: Third-Party Penalties (February 2026) Substantially updates the application of Section 163.2 third-party civil penalties, explicitly targeting advisors who promote aggressive tax structures through marketing or "thought leadership" to a broad audience, and removes the administrative limitation period for assessing penalties.*

Appendix 3: Characteristics of Typical IFA Bank Loans

Based on standard industry documentation we have reviewed, typical Immediate Financing Arrangement (IFA) bank loans often exhibit the following explicit characteristics:

- ***Demand Loan Structure:*** *The facility is explicitly structured as a demand loan. Until the bank actively demands repayment, the borrower is only required to pay monthly interest. There is no fixed maturity date and no set schedule requiring principal repayment within a specific period.*
- ***Minimum Payments:*** *The minimum monthly payment is strictly interest-only.*
- ***Credit Limit Calculation:*** *The available credit limit is calculated by referencing the sum of the annual premiums paid into the life insurance policy, plus 100% of the net cash surrender value.*

- ***Product Branding and Integration:*** *The product is explicitly branded and structured as an integrated strategy tied directly to the life policy (e.g., "Immediate Financing Arrangement – Investment Line of Credit").*
- ***Mandatory Policy Illustrations:*** *As a strict condition of maintaining the facility, the borrower must provide the bank with an up-to-date, in-force life insurance policy illustration annually (or more frequently upon request). This illustration must confirm the net cash surrender value of the policy.*
- ***Proof of Annual Premium Payment:*** *The borrower must ensure premium payments are up to date at all times. Furthermore, proof of the annual premium payment must be provided concurrently with the payment, or upon the bank's request at its sole discretion.*
- ***Mandatory Link to Reinvested Funds:*** *As a condition precedent to releasing funds, the bank requires an investment statement confirming a market value at least equal to the loan amount. This explicitly ties the loan approval to the reinvestment of funds, undermining the argument that the financing and subsequent business investment are independent transactions.*
- ***Strict Control Over Premium Funding Source:*** *The loan conditions explicitly forbid paying the annual insurance premium directly from the line of credit or from the policy's accumulated value. This contractually forces the borrower to execute the specific "two-step" flow of funds (pay premium out-of-pocket, then borrow and invest) required to claim tax deductions.*
- ***Advances Restricted to Premium Cycle:*** *Advances are strictly permitted only once per year. Any additional advances require the bank's sole discretion and incur an extra $250 fee. This annual restriction mirrors the life insurance premium cycle rather than the flexible drawdowns typical of a general business line of credit.*
- ***Total Lock-Up of the Policy:*** *The conditions expressly forbid the borrower or the guarantor from obtaining any separate policy loans directly from the life insurance policy itself.*
- ***Security Requirements:*** *The required security includes a first-ranking hypothec or assignment of the life insurance policy in favour of the bank, coupled with a personal guarantee.*
- ***Discretionary Annual Review:*** *The facility is subject to an annual review by the lender. The bank explicitly retains the right to demand full repayment of the outstanding balance at its sole discretion at any time.*
- ***Events of Default:*** *The death of the insured is formally classified as an event of default, which inherently triggers the demand for repayment.*
- ***Tax and Accounting Disclaimers:*** *The lender expressly disclaims providing any tax, legal, or accounting advice. Furthermore, the bank explicitly states that it has made no representations, verbal or written, regarding the tax effectiveness or accounting aspects of the arrangement.*

Characteristics of an Immediate Financed Life Insurance Plan

Tax Rate: 50.17%

Loan Rate: 5.00%

E & O. E.

Characteristics of an Immediate Financed Life Insurance Plan
Deposits as Scheduled
Current -1 Dividend Scale 5.35% (For Information Purposes Only)

		Policy Information			Loan Details			Annual Deductions				Cash Flow	Benefits		
		#1	#2	#3	#4	#5	#6	#8	#9	#10	#11	#12	#13	#14	#15
Yr.	Age	Deposit	Cash Value	Death Benefit	Annual Loan Amount	Cumulative Loan Amount	Loan Security Collateral (#5 - #2)	Tax Deductible Interest*	Tax Dedcutible Premium*	Total Annual Deduction (#8 + #9)	Total Annual Savings (#10 x Tx%)	Net Cash Outlay (Avg. $15K) (#10 - #11)	Capital Dividend Account Credit	Net Cash Surrender Value	Net Death Benefit (#3 - #5)
1	60	$100,000	$61,091	$1,446,039	$100,000	$100,000	$38,909	$5,000	$175	$5,175	$2,596	$2,404	$1,348,570	$ -	1,346,039
2	61	100,000	127,089	1,586,368	100,000	200,000	72,911	10,000	486	10,486	5,261	4,739	1,392,750	0	1,386,368
3	62	100,000	197,740	1,728,112	100,000	300,000	102,260	15,000	896	15,896	7,975	7,025	1,439,656	0	1,428,112
4	63	100,000	272,084	1,868,904	100,000	400,000	127,916	20,000	1,417	21,417	10,745	9,255	1,487,067	0	1,468,904
5	64	100,000	349,913	2,008,261	100,000	500,000	150,087	25,000	2,060	27,060	13,576	11,424	1,534,697	0	1,508,261
6	65	100,000	447,235	2,146,651	100,000	600,000	152,765	30,000	2,845	32,845	16,478	13,522	1,583,264	0	1,546,651
7	66	100,000	554,921	2,284,685	100,000	700,000	145,079	35,000	3,790	38,790	19,461	15,539	1,633,669	0	1,584,685
8	67	100,000	673,270	2,422,740	100,000	800,000	126,730	40,000	4,915	44,915	22,534	17,466	1,686,609	0	1,622,740
9	68	100,000	802,556	2,561,174	100,000	900,000	97,444	45,000	6,243	51,243	25,709	19,291	1,742,811	0	1,661,174
10	69	100,000	943,038	2,700,334	100,000	1,000,000	56,962	50,000	7,789	57,789	28,993	21,007	1,803,004	0	1,700,334
11	70	0	995,100	2,666,002	0	1,000,000	4,900	50,000	8,874	58,874	29,537	20,463	1,792,329	0	1,666,002
12	71	0	1,054,681	2,634,855	0	1,000,000	0	50,000	10,053	60,053	30,128	19,872	1,787,669	54,681	1,634,855
13	72	0	1,121,971	2,606,979	0	1,000,000	0	50,000	11,348	61,348	30,778	19,222	1,789,376	121,971	1,606,979
14	73	0	1,197,165	2,582,453	0	1,000,000	0	50,000	12,739	62,739	31,476	18,524	1,797,748	197,165	1,582,453
15	74	0	1,280,453	2,561,357	0	1,000,000	0	50,000	14,229	64,229	32,224	17,776	1,813,096	280,453	1,561,357
16	75	0	1,323,698	2,543,051	0	1,000,000	0	50,000	15,829	65,829	33,027	16,973	1,835,046	323,698	1,543,051
17	76	0	1,368,098	2,526,713	0	1,000,000	0	50,000	16,133	66,133	33,179	16,821	1,861,446	368,098	1,526,713
18	77	0	1,414,037	2,512,257	0	1,000,000	0	50,000	16,226	66,226	33,225	16,775	1,892,260	414,037	1,512,257
19	78	0	1,461,654	2,499,626	0	1,000,000	0	50,000	16,308	66,308	33,266	16,734	1,927,447	461,654	1,499,626
20	79	0	1,511,107	2,488,774	0	1,000,000	0	50,000	16,379	66,379	33,302	16,698	1,966,967	511,107	1,488,774
21	80	0	1,562,582	2,479,661	0	1,000,000	0	50,000	16,439	66,439	33,332	16,668	2,010,751	562,582	1,479,661
22	81	0	1,616,301	2,472,255	0	1,000,000	0	50,000	16,488	66,488	33,357	16,643	2,058,714	616,301	1,472,255
23	82	0	1,672,174	2,466,528	0	1,000,000	0	50,000	16,526	66,526	33,376	16,624	2,110,737	672,174	1,466,528
24	83	0	1,729,676	2,462,467	0	1,000,000	0	50,000	16,554	66,554	33,390	16,610	2,166,671	729,676	1,462,467
25	84	0	1,788,435	2,460,038	0	1,000,000	0	50,000	16,570	66,570	33,398	16,602	2,226,288	788,435	1,460,038
26	85	0	1,848,331	2,459,189	0	1,000,000	0	50,000	16,576	66,576	33,401	16,599	2,289,268	848,331	1,459,189
27	86	0	1,909,255	2,459,866	0	1,000,000	0	50,000	16,571	66,571	33,399	16,601	2,355,202	909,255	1,459,866
28	87	0	1,971,085	2,462,024	0	1,000,000	0	50,000	16,557	66,557	33,391	16,609	2,423,532	971,085	1,462,024
29	88	0	2,033,645	2,465,619	0	1,000,000	0	50,000	16,532	66,532	33,379	16,621	2,465,619	1,033,645	1,465,619
30	89	0	2,096,731	2,470,612	0	1,000,000	0	50,000	16,499	66,499	33,363	16,637	2,470,612	1,096,731	1,470,612
31	90	0	2,159,535	2,476,217	0	1,000,000	0	50,000	16,462	66,462	33,344	16,656	2,476,217	1,159,535	1,476,217
32	91	0	2,229,555	2,530,229	0	1,000,000	0	50,000	0	50,000	25,085	24,915	2,530,229	1,229,555	1,530,229
33	92	0	2,298,778	2,584,179	0	1,000,000	0	50,000	0	50,000	25,085	24,915	2,584,179	1,298,778	1,584,179
34	93	0	2,368,072	2,638,095	0	1,000,000	0	50,000	0	50,000	25,085	24,915	2,638,095	1,368,072	1,638,095
35	94	0	2,438,237	2,691,999	0	1,000,000	0	50,000	0	50,000	25,085	24,915	2,691,999	1,438,237	1,691,999
36	95	0	2,509,972	2,745,912	0	1,000,000	0	50,000	0	50,000	25,085	24,915	2,745,912	1,509,972	1,745,912
37	96	0	2,584,750	2,799,844	0	1,000,000	0	50,000	0	50,000	25,085	24,915	2,799,844	1,584,750	1,799,844
38	97	0	2,665,320	2,853,789	0	1,000,000	0	50,000	0	50,000	25,085	24,915	2,853,789	1,665,320	1,853,789
39	98	0	2,756,593	2,907,715	0	1,000,000	0	50,000	0	50,000	25,085	24,915	2,907,715	1,756,593	1,907,715
40	99	0	2,867,532	2,961,547	0	1,000,000	0	50,000	0	50,000	25,085	24,915	2,961,547	1,867,532	1,961,547
41	100	0	3,015,145	3,015,145	0	1,000,000	0	50,000	0	50,000	25,085	24,915	3,015,145	2,015,145	2,015,145

$ 1,000,000

Reviewer note: This analysis should be evaluated against the complete IFA documentation, including the actual loan agreement, policy illustration, financing conditions, marketing representations and flow of funds—not the IFA label alone. In particular, reviewers should independently test the loan terms under ITA ss. 143.2(7) and (12), then determine whether any resulting limited-recourse amount is a prescribed benefit in respect of the policy and whether the first-four-year representations satisfy the s. 237.1 tax-shelter test.